How Chandrasekaran-led Tata Sons board and Noel Tata-led Tata Trusts differ on key issues

TATA TRUSTS

EXTENSION

Noel says that of the two Tata trustees on the Tata Sons board, only Srinivasan agreed to the resolution on Chandra's extension, while he dissented. **There was no majority of the Tata Trusts' votes as deemed under Article 118** of Tata Sons, and therefore the resolution was invalid

PROPOSED LISTING

Opposes it saying a listed Tata Sons would be **accountable to shareholders whose interest is mainly financial return.** It may not deploy capital to rescue a group company in distress. Is likely to challenge the RBI's decision in court

DECISIONS

Unhappy with the delay in turnaround at Air India, the delayed returns from investments in digital business and semiconductors



AVISHEK MANU SINGHVI
Lawyer, Tata Trusts

"No one can deny the 66 per cent ownership of Tata Sons by Tata Trusts. You cannot allow corporate governance to be turned on its head by a runaway board excluding the owners of the entity on whose board they sit"

ers whose legitimate interest is financial return. "It is doubtful that such shareholders would sanction the deployment of capital to rescue a Group company in distress, or the funding of a greenfield venture whose returns lie fifteen years away. That is not a criticism of them. It is a description of their mandate, which is not ours," he adds.

It is this basic structure that is now being challenged. Srinivasan's decision to go against Tata Trusts is symptomatic of the differences that had been brewing within the trusts for some time. These differences spilled into the public domain last year when Mehli Mistry, a Tata Trusts trustee, along with Pramit Jhaveri, former Citibank CEO, Jehangir and Khambata opposed the reappointment of Srinivasan and Singh to the boards of Sir Dorabji Tata Trust and Sir Ratan Tata Trust. The Centre eventually stepped in, with home minister Amit Shah and finance minister Nirmala Sitharaman calling Noel, Chandrasekaran and some other trustees to Delhi for talks. Days later, Mehli stepped down from the boards of key Tata trusts.

Noel is betting on the AGM to ensure the Tata Sons board decisions are reversed. "As far as Tata Trusts is concerned, unless Chandra relents and sticks to his August decision (not to continue as chairman beyond February 2027), this matter will go to court," says H.P. Ranina, a senior Supreme Court advocate. "And if it does, Tata Trusts will succeed, for the simple reason that the SC itself had pronounced a decision on it earlier." When Tata Sons was caught in a legal tangle with Cyrus, it had evoked the sanctity of its AoA to build its case against the ousted chairman. "Tata Trusts is not going to relent. The law is on their side. The articles of Tata Sons clearly say that both the nominee directors of the Sir Ratan Tata Trust and Sir Dorabji Tata Trust must agree to the appointment of the CEO or any other changes," Ranina adds.

On listing Tata Sons, he says that Tata Sons Pvt. Ltd has to be converted into a public company. Only a public company can be listed. So, the AoA has to be changed. To change it, shareholders' approval is required. At the AGM, only shareholders can vote, not directors, unless they are shareholders themselves. When it comes to voting, Tata Trusts has the edge because of its majority shareholding. Ranina also questions whether the RBI can give such directions. According to him, the central bank is only a regulator. But in this case, it is asking for a change in the ownership structure. The SC will have to decide whether the RBI acted within its limitations, he says.

There are many who feel that Noel raised the right issues: the chairman being more accountable and open to scrutiny when it came to some of the key businesses of the group. Noel was concerned about the losses being made in Air India and the huge investments made in digital that have yet to yield returns. Air India, brought back into the Tata fold in 2022, doubled its net loss to Rs 22,238 crore in FY26. Tata Neu has yet to establish itself as a dominant super-app despite substantial investment, while the group's semiconductor venture remains a long-gestation bet.

War Cries Begin

Singhvi, who represented Tata Sons in the 2016 legal fight against Cyrus, says that the sanctity of Tata Trusts' AoA should be held up. "No one can deny the 66 per cent ownership of Tata Sons by Tata Trusts. You cannot allow corporate governance to be turned on its head by a runaway board excluding the owners of the entity on whose board they sit," he said in a media interview. Harish Salve, on the other hand, justified Srinivasan's vote in favour of Chandra. In a TV interview, he said, "While the directors of a subsidiary are directly nominated by the holding company, the Supreme Court has held that they owe fiduciary duty to the subsidiary to which they are appointed. They are not puppets."

The recent developments have shaken the edifice of one of India's most diversified corporate groups, and arguably its most admired brand overseas. While there are big issues to be addressed, a protracted legal battle should be avoided, as it could erode the Tata Group's reputation, nurtured over generations. ■